



Pan Africa Insurance Holdings Limited

Unaudited Group Financial Results for the Six Months to 30 June 2013

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1 Introduction

The Board of Directors of Pan Africa Insurance Holdings Limited (PAIHL) is pleased to announce the Group's unaudited results for the six months to 30th June 2013.

2 Key Features

- Profit before tax at Kshs 859m (June 2012: Kshs 220m)
- Total assets up 9% to Kshs 18b
- Group EV up 11% to Kshs 4.9b
- Capital Adequacy Requirement (Solvency) up 11% to 4.18 times
- Value of New Business up 7% to Kshs 144m

3 Accounting policies

The Group's accounting policies comply with International Financial Reporting Standards (IFRS) as well as the Kenya Companies Act. These policies are consistent with those applied in prior years.

1 The Economic Environment

The IMF World Economic Outlook (April 2013) projects the Kenyan GDP will grow by 5.8% in 2013 compared to 4.6% achieved in 2012. The NSE share index at 4598 on 30th June 2013 is 9% above the December 2012 closing index of 4188. The overall 12 month inflation rate at 4.91% is higher than the 4.11% (March 2013) and 3.2% (Dec 2012). Short term interest rates are on the decline with the 91 and 182 days treasury bills decreasing to 5.76% and 6.32% in July 2013 compared to 10.21% and 10.6% on April 2013 and 8.12% and 8.1% in January 2013.

Financial Overview

The Group profit before tax at Kshs 859m is a significant improvement from the Kshs 220m reported in June 2012. This improvement has largely resulted from fair value gains on an unlisted investment. The operating surplus of Kshs 315m is attributable to steady growth in our Life business profitability, profits from our property portfolio and interest from our investment activities.

Analysis of Earnings

	Six Months to 30 Jun 13	Six Months to 30 Jun 12
Operating surplus	Kshs: M 315	Kshs: M 143
Investment income on shareholders' assets	544	77
Profit before tax	859	220
Tax	(59)	(2)
Net surplus for the period	800	218

Excluding the Kshs 1.4b bulk annuities acquired in 2012, our life business continued to do well in the 1st half of the year with the gross premium at Kshs 2.1b exceeding the Kshs 1.8b attained in June 2012 by 17%. Growth in annuity business is being hampered by lack of appropriate assets in the market to back long term liabilities.

Corporate Business has performed well against most of our expected parameters even though intense competition in Group Life continues to be a challenge in new business acquisition. The Group credit business is up compared with 2012 on the back of lower rates of interest on loans.

Individual Life sales are up in the 1st half of 2013 notwithstanding the elections in March 2013. This is an indication that our Individual Life market has developed resilience to withstand political and other risks. Sales for our plots in Runda are on target as at 30th June 2013. Sales prospects remain good and we expect to attain our full year target by December 2013.

We have not introduced any new products in the 1st half of the year though we are working on a mobile telephony product that will be rolled out in the 2nd half of the year.

Dividends

Consistent with the company's dividend policy, the Board does not recommend the payment of an interim dividend.

Looking ahead

Our focus for the second half of the year will be to increase penetration for our Corporate as well as Individual Life products through Bancassurance and alternative business distribution channels. We will also be completing the implementation of our new Administration system by the 3rd Quarter of the year. The Runda Phase 3 project is slated for completion in Q3 as per plan.

For and on behalf of the Board

JPN Simba (Chairman)
TM Gitogo (Chief Executive)

Directors

JPN Simba, MM Dawes*, BT Gamedze*, TM Gitogo, JN Gitoho,
S Mudhune, BC Patel, TA Wixley*, J Wrench*

*South African

MEMBER OF THE Sanlam GROUP

Group Statement of Comprehensive Income

	6 Months to 30 June 2013	6 Months to 30 June 2012	12 Months to 31 Dec 2012
Gross written premium	Kshs: '000	Kshs: '000	Kshs: '000
Outward reinsurance premium	2,134,460	3,244,996	5,440,654
Net written premium	(147,990)	(141,444)	(315,020)
Investment income	729,079	678,383	1,244,574
Fair value gains	713,558	440,171	879,863
Fee and commissions	24,421	35,695	75,866
Other operating income(Including property)	216,494	62,909	594,904
Other revenue	1,683,532	1,217,158	2,795,207
Total income	3,670,002	4,320,710	7,920,841
Gross benefits and claims paid	(940,249)	(876,534)	(1,674,761)
Reinsurers' share of claims	39,961	125,626	174,333
Net change in contract liabilities	(1,132,319)	(2,609,726)	(4,020,967)
Net claims and policyholders benefits	(2,032,607)	(3,360,634)	(5,521,395)
Cost of sales	(16,670)	(18,327)	(40,210)
Commission payable	(320,057)	(313,512)	(669,678)
Operating and other expenses	(441,106)	(407,761)	(855,582)
Total benefits, claims and other expenses	(2,810,440)	(4,100,234)	(7,087,865)
Profit before share of profit of associate	859,562	220,476	832,976
Share of profit of associate	-	-	1,670
Profit before tax	859,562	220,476	834,646
Income tax expense	(59,384)	(2,141)	(136,375)
Profit for the year after tax	800,178	218,335	698,271
Other comprehensive income	-	-	-
Total profit and other comprehensive income	800,178	218,335	698,271
Profit attributable to:			
Equity holders	800,178	218,335	698,271
Earnings per share			
Basic	8.34	2.27	7.27
Diluted	8.34	2.27	7.27
Shares used in calculating earnings per share	96,000,000	96,000,000	96,000,000

Group Statement of Financial Position

	30 Jun 13	30 Jun 12
CAPITAL AND RESERVES		
Share capital	480,000	480,000
Share premium	124,431	124,431
Statutory reserve	1,023,710	652,193
Retained earnings	1,512,886	892,351
Total capital and reserves	3,141,027	2,148,975
ASSETS		
Intangible assets	92,545	62,213
Property and equipment	128,290	107,102
Investment property	820,000	772,613
Land and development (Inventory)	119,212	117,513
Investments in associate	11,614	15,991
Financial instruments:		
Loans	995,890	888,816
Held to maturity financial assets	4,170,586	4,044,181
Available for sale financial assets	3,827	3,827
Fair value through profit or loss financial assets	6,700,088	3,963,053
Reinsurance assets	197,349	176,052
Reinsurance receivables	39,270	114,543
Income tax receivables	47,110	38,531
Receivable and other financial assets	411,185	479,470
Deposits with financial institutions	4,348,830	3,358,487
Cash and bank balances	82,190	122,613
Total assets	18,167,986	14,265,005
LIABILITIES		
Insurance contract liabilities	5,566,567	4,943,069
Market linked insurance liabilities	7,467,622	5,526,418
Payable under deposit administration contracts	1,190,203	876,759
Provisions	56,813	56,813
Current tax liabilities	59,384	2,141
Insurance payables	252,605	230,491
Payables and other charges	441,765	480,339
Total liabilities	15,034,959	12,116,030
Group Statement of Changes in Equity		
Share capital and share premium	604,431	604,431
Opening reserves	2,024,480	1,518,209
Income attributable to shareholders	800,178	218,335
Dividends paid	(288,000)	(192,000)
Balance at end of the year	3,141,089	2,148,975
Abridged Statement of Cash Flows		
Cash flow from operating activities	574,829	2,148,674
Cash utilised in investing activities	(308,817)	(1,516,572)
Cash utilised in financing activities	(288,000)	(192,000)
Net (decrease)/increase in cash resources	(21,988)	440,102
Cash resources at the beginning of the year	4,455,009	3,040,998
Cash resources at the end of the year	4,431,021	3,481,100

Group Embedded Value

The embedded value represents an estimate of the value of the group. It excludes the value attributable to minority interests and goodwill attributable to future new business. The embedded value comprises:

- a) the value of the shareholders' equity net of the cost of the Capital Adequacy Requirement (CAR); and
- b) the value of the in-force business.

The value of the in-force is the present value of future profits arising from business in force at the valuation date, discounted at the risk discount rate.

	6 Months to 30 June 2013	6 Months to 30 June 2012	12 Months to 31 Dec 2012
Shareholders' equity, excluding goodwill	3,141,199	2,149,099	2,628,911
Fair value adjustments to net assets	642,090	942,401	712,439
Deferred tax adjustment on net assets	(307,113)	(195,658)	(255,647)
Net value of in-force	1,498,477	1,478,983	1,408,854
Gross value in-force	2,503,345	2,317,912	2,319,132
Tax provision	(751,003)	(695,374)	(695,739)
Cost of CAR	(253,865)	(193,555)	(214,539)
Embedded value at end of period	4,974,653	4,324,825	4,494,557
Embedded value earnings	4,974,653	4,324,825	4,494,557
Embedded value at end of period	4,974,653	4,324,825	4,494,557
Change in embedded value	4,494,557	4,159,229	4,159,229
Change in embedded value	4,494,557	4,159,229	4,159,229
Dividends paid	288,000	192,000	192,000
Embedded value earnings	768,096	357,597	527,328
These earnings can be analysed as follows:			
Roll forward			
Investment return on free assets	137,803	131,518	282,561
Expected return on life business in force	22,748	9,260	25,966
Change over the period	115,055	122,258	256,575
Value of new business at end of year	630,294	226,078	244,767
Value at point of sale (gross of tax)	149,991	140,554	240,638
Tax on value at point of sale	217,111	240,474	386,802
Cost of capital on new business	(65,133)	(72,142)	(116,040)
Expected return to end of year	(7,232)	(33,475)	(48,292)
Change in assumptions and methodology	5,245	5,697	18,168
Experience variations	30,721	48,499	(108,469)
Increase in NAV on unlisted investments	(108,642)	(44,443)	(20,585)
Increase in NAV for other subsidiaries and associate	490,000	-	-
Total earnings	68,224	81,468	133,183
Value of new business at point of sale	768,097	357,596	527,328
Recurring premium	144,746	134,857	222,469
Single premium	51,332	14,867	17,017
Cost of CAR	100,656	153,465	253,744
Value of new business at point of sale	144,745	134,857	222,470
Individual life business	44,368	580	(484)
Corporate business	107,610	167,752	271,245
Cost of CAR	(7,232)	(33,475)	(48,292)
Assumptions			
The main assumptions used are as follows:			
1. Economic assumptions			
Risk discount rate	% p.a	% p.a	% p.a
Overall investment return	15.3	18.0	17.0
Expense inflation rate	10.5	13.2	12.1
2. Other assumptions			
The assumptions for future mortality, persistency and premium escalation were based on recent experience adjusted for anticipated future trends.			
Notes			
a) Changes in assumptions and methodology			
Expenses	21,341	-	(93,215)
Mortality	131,964	(2,562)	(544)
Persistency	183	102	(592)
Data and methodology changes	(123,667)	6,525	(3,205)
Total operational	29,821	4,065	(97,556)
Investment return	(84,929)	(120,777)	(225,840)
Risk discount rate	85,829	165,211	214,927
Total	30,721	48,499	(108,469)
b) Experience variations			
Mortality and morbidity	54,593	(16,337)	152,837
Persistency	(86,139)	(78,106)	(235,289)
Expenses and commission	(54,629)	(28,398)	(42,444)
Tax variations	(6,804)	(4,952)	(11,767)
Other	50,284	6,506	75,355
Total operational	(42,695)	(121,287)	(61,308)
Investment variances	(65,947)	76,845	40,723
Total	(108,642)	(44,442)	(20,585)
c) Fair value adjustments			
Adjustment to fair value of subsidiary	642,090	942,401	712,439
d) Increase in NAV for other subsidiaries			
NAV increase for other subsidiaries & associates	68,224	81,468	133,183
e) Increase in NAV for unlisted investments			
NAV increase for unlisted investments	490,000	-	-